Evaluating and Developing a Marketing Strategy

Duolingo

duolingo

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ABSTRACT

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Duolingo, a prominent player in the online language learning industry, has garnered significant attention for its innovative approach and commitment to accessible education. This report delves into an in-depth analysis of Duolingo's marketing strategy and its evolution over the years, with a focus on key developments since 2018.

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1. Introduction

1.1 Overview

According to Duolingo's LinkedIn profile (Duolingo, n.d.), Duolingo is established in 2011 by Luis von Ahn and is dedicated to the global mission of delivering accessible education at zero cost. The company had developed an online application offering a diverse range of language courses, exceeding 40 languages in number, all accessible without any charge (Blanco, 2022). The company successfully engages users by emphasizing intuitive learning and offering easily digestible, bite-sized lessons. The application integrates captivating games and introduces small portions of vocabulary within each game. The platform motivates users to maintain a streak, coupled with enjoyable games, creating a sense of accomplishment and encouraging continuous engagement.

Duolingo provides a comprehensive free option, complemented by a freemium model that offers users a paid membership for added features, including offline support and an ad-free experience (Cuofano, 2023). While an ad-free option is available, the allure of the platform lies significantly in its free version.

As of 2021, Duolingo dominates the language learning education market with a user base surpassing 575 million, including 9.6 million active daily users. This significant engagement reflects the widespread appeal of the company's promoted product. The company has acquired 455 million users between 2015 and 2021 (Daniel, 2023).

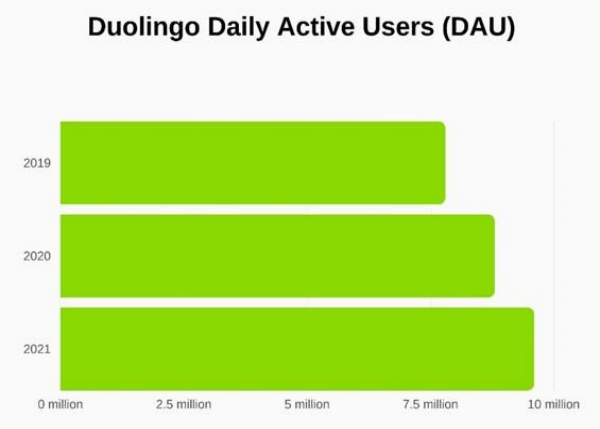

Figure 1: Duolingo Daily Active Users (DAU)
Source: Daniel, 2023

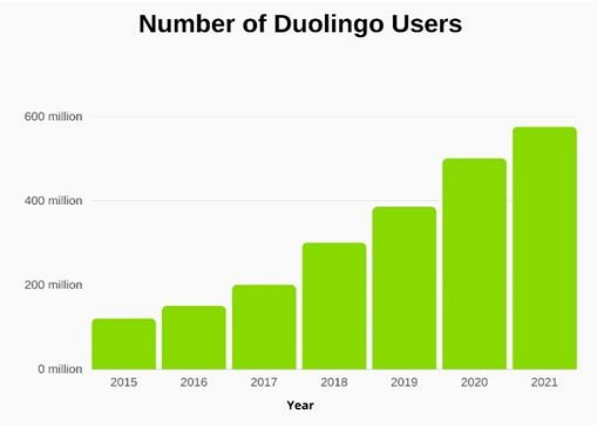

Figure 2: Number of Duolingo users (Y)
Source: Daniel, 2023

This growth can be attributed to engaging games and effective marketing strategies that consistently elevate daily active users.

1.2 Customer Base

Given the remarkable customer growth, it's crucial to analyse key statistics within the user base. The app has achieved significant popularity, with the United States leading at 23.74% of its total user base. Brazil follows closely at 6.35%, and the United Kingdom holds a substantial 5.02%, as of October 2023 (Similarweb, 2023). Germany and Mexico secure positions in the top 5, with slightly lower percentages, registering 3.93% and 3.56%, respectively (Similarweb, 2023). The prominence of the United Kingdom and the United States in user statistics indicates English as the predominant first language among Duolingo users (Daniel, 2023).

Figure 3: Web Traffic by Country
Source: Similarweb, 2023

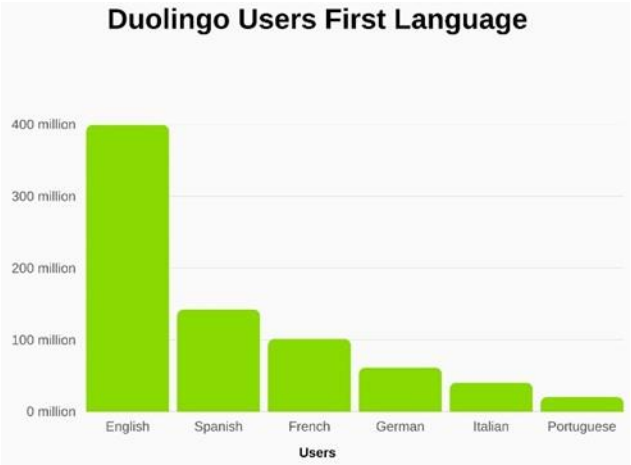

Figure 4: Duolingo Users First Language
Source: Daniel, 2023

Duolingo's target demographic is primarily composed of young individuals, with 29.01% falling in the 18-24 age range, closely followed by 25.73% in the 25-34 age bracket, according to demographic statistics. The gender distribution of the application is fairly balanced, with 51.08% women and 48.92% men (Similarweb, 2023).

Figure 5: Website Traffic Demographics, October 2023 Source: Similarweb, 2023

1.3 Market Overview

Duolingo firmly dominates the online education market, commanding a substantial 63.54% of app installations in 2021 (Curry, 2023). In terms of ranking and monthly usage, the platform stands out globally with a ranking of #415, whereas competitors such as Busuu hold positions at #5,014 and Babbel at #7,061 as of October 2023 (Similarweb, 2023). Figure 6 offers a comparative perspective, incorporating the mentioned Busuu and Babbel, vividly showcasing the substantial difference in popularity.

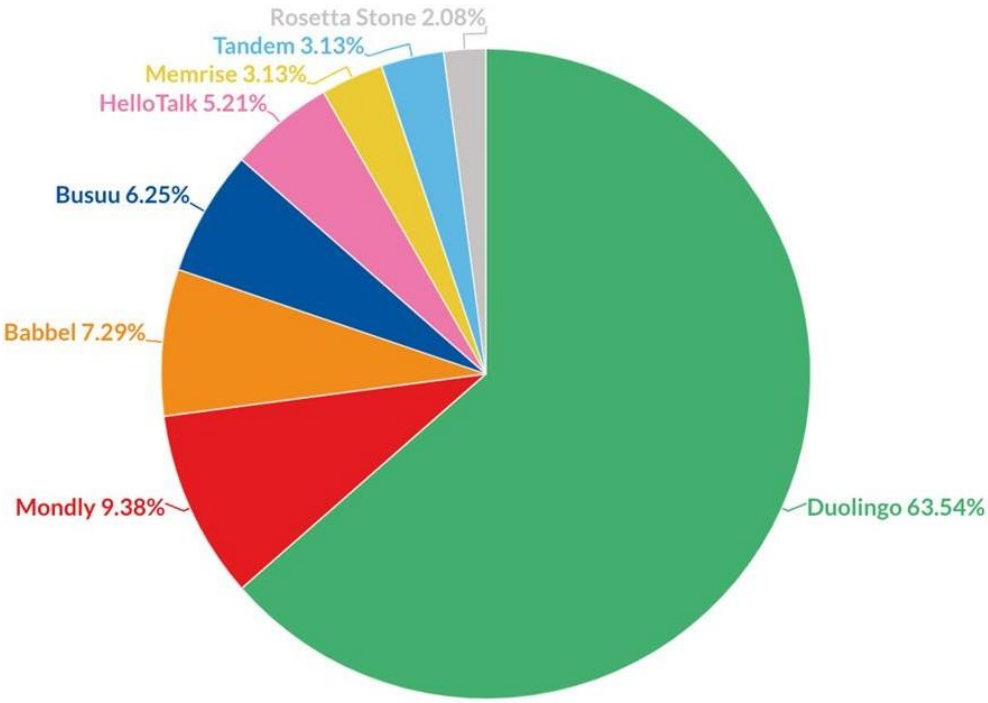

Figure 6: Percentage Apps Installed, 2021
Source: Curry, 2023

2. Marketing strategy analysis

2.1 Marketing Mix Analysis

2.1.1 Success Indicators

In the last five years (2018-2023), Duolingo has focused significantly on generating and increasing the number of users as a primary metric for measuring its success. The company has devised a growth model to systematically track and analyse user trends effectively (Gustafson, 2023).

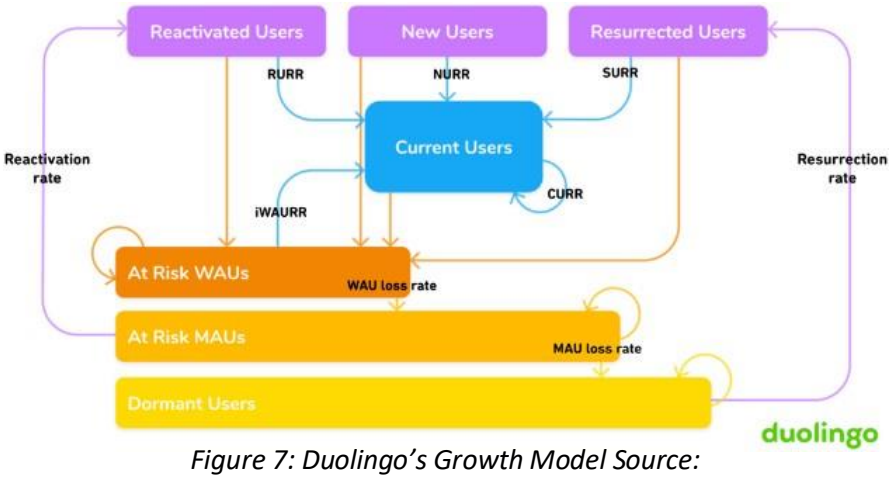

Figure 7: Duolingo's Growth Model Source: Gustafson, 2023

The model has proven effective, as evidenced by the substantial increase in daily active users, rising from 8.4 million to 24.2 million between 2020 and 2023, as illustrated in Figure 8 (Curry, 2023). Similar growth consistency is demonstrated in the monthly active users, as depicted in Figure 9 (Curry, 2023).

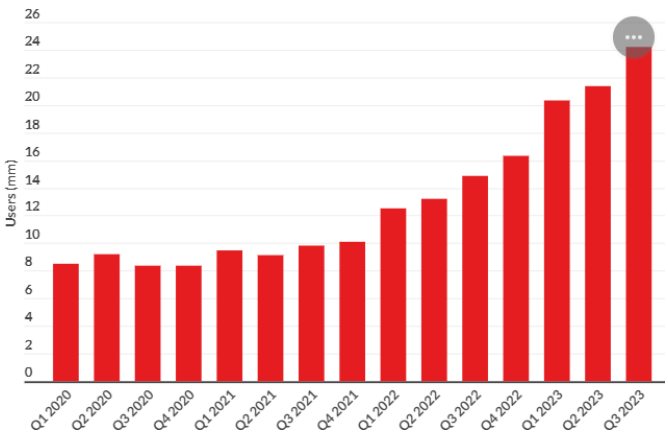

Figure 8: Duolingo Quarterly DAUs (mm) Source: Curry, 2023

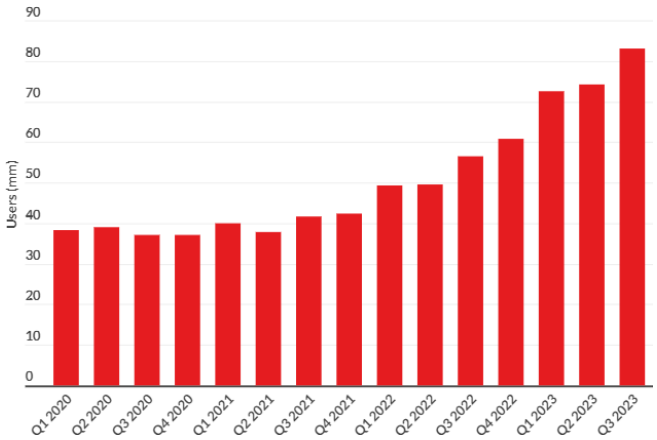

Figure 9: Duolingo Quarterly MAUs (mm) Source: Curry, 2023

2.1.2 Product

Duolingo offers a service in the form of language learning, providing users with an interactive platform to enhance their language skills. It actively promotes its mission of making education accessible to all by offering its language learning product for free. Duolingo stands out by exclusively providing over 100 courses in 40 languages, differentiating itself from competitor platforms through its innovative instinctual approach.

From its inception, the company has consistently embraced innovation, positioning it as a key driver behind its sustained popularity. This openness to creative solutions has played a pivotal role in shaping the company's success. An illustration of this commitment is evident in the periodic updates to the design, a strategy aimed at sustaining user interest. Figure 10 visually captures the evolution of design from 2018 to 2023.

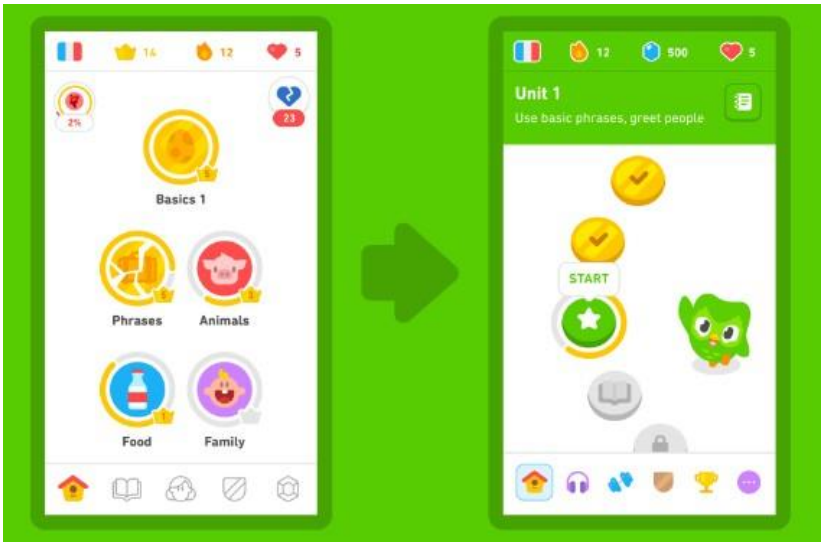

Figure 10: Duolingo's learning path 2018-2022 and 2022 – now
Source: Munson et al., 2022

The impact of the design changes implemented on November 1st, 2022, can be directly correlated with the surge in Daily Active Users, as illustrated in Figure 8. Notably, between the 4th quarter of 2022 and the 1st quarter of 2023, the number experienced an increase of 4 million.

Duolingo consistently enhances its features to align with prevailing online trends, as evidenced by the introduction of Duo Radio—a feature incorporating podcast-style listening

exercises (Fernandez, 2023). This update seamlessly aligns with the current surge in podcast popularity, as illustrated in Figure 11. Capitalizing on the observed 69.1% surge in podcast listenership from 2019 to 2023, Duolingo has adeptly seized the opportunities presented by these trends to its substantial benefit.

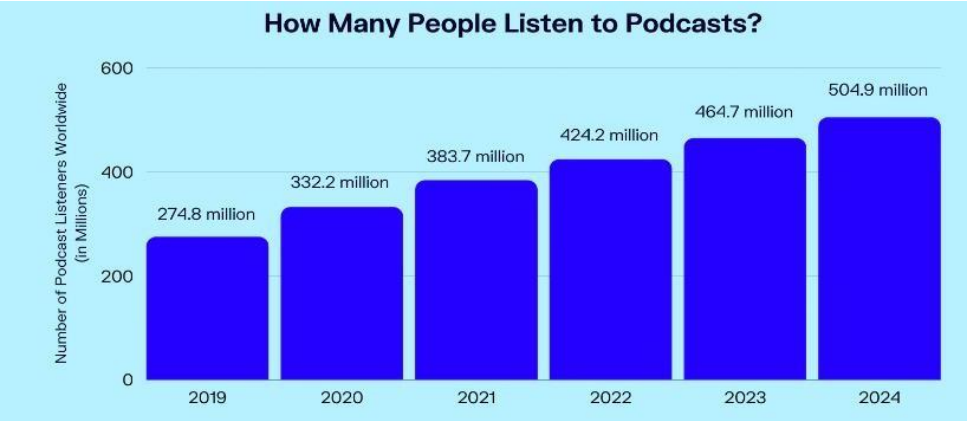

Figure 11: How Many People Listen to Podcasts? Source: Oberlo, 2023

Another crucial feature in the platform is the interactivity of the exercises. Duolingo has incorporated various interactive features to keep users motivated such as leader boards to boost competition, personal avatars to see themselves as characters.

The company's innovations are intricately tied to the product's quality. However, what fosters trust between the platform and users is the Duolingo Blog, where the company outlines each update and feature in comprehensive detail. The blog serves as a valuable resource for tracking the evolution and trends associated with the application.

2.1.3 Price

Duolingo's pricing approach aligns closely with its mission of providing accessible education. The company adopts a freemium model, allowing users to access language learning for free while offering a premium, ad-free subscription with additional features for those seeking an enhanced learning experience. The company further extends its commitment to education by offering free access for teachers, allowing them to monitor and track students' progress. While Duolingo's Super Duolingo offers gifting options and a family plan (Fanelli, 2022), available through both monthly and yearly payment options, the impact of paid subscribers

remains relatively minimal in proportion to the total user base. Despite these additional features, the number of paid subscribers doesn't significantly influence the overall user experience or dynamics. Figure 11 illustrates a consistent growth in paid subscribers globally. but in comparison to the total of 575 million, the current 5.8 members are insignificant. Nevertheless, when compared against the extensive user base of 575 million, the present count of 5.8 million members appears relatively modest, indicating their comparatively minor impact.

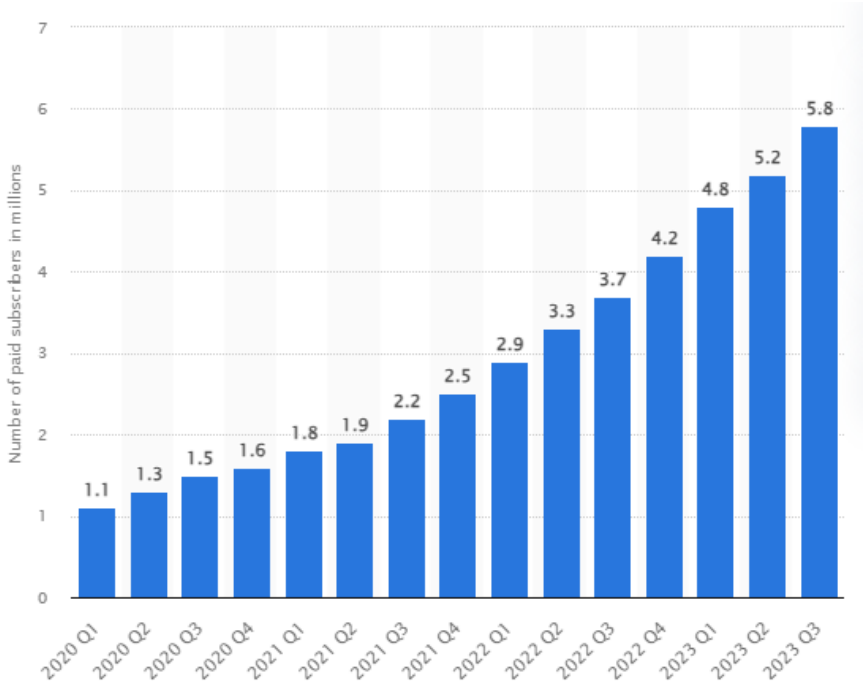

Figure 12: Number of Paid Duolingo Subscribers Worldwide
Source: Statista, 2023

2.1.4 Place

Duolingo, as an online learning service, boasts global accessibility through its mobile application and website. Users can seamlessly download the app from major platforms like Google Play and the Apple Store, ensuring a widespread presence and ease of access for learners worldwide.

2.1.5 Promotion

Duolingo has achieved remarkable success in self-promotion and marketing its services. The company has strategically established a presence on all major social media platforms, consistently engaging with its audience by aligning with current trends and delivering relevant content, gaining millions of followers. As of October 2023, Figure 13 illustrates the most popular social media networks globally (Statista, 2023). Duolingo has a collective follower count of 13.42 million across its social media profiles on Facebook, Instagram, YouTube and TikTok.

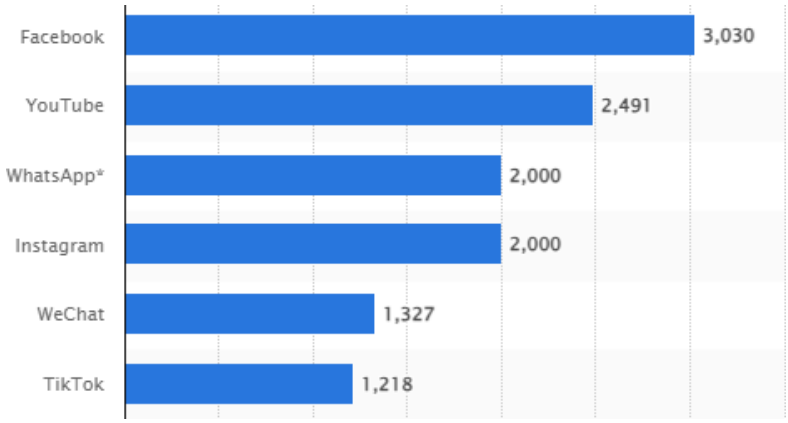

Figure 13: Most popular social networks worldwide as of October 2023, ranked by number of monthly active users Source: Statista, 2023

Within the realm of social media, Duolingo excels in actively engaging its target age demographic. Notably, the majority of its media traffic, constituting 56.15%, originates from YouTube (Similarweb, 2023). It's important to highlight that YouTube mirrors a similar age range distribution, as depicted in Figure 15 (Similarweb, 2023).

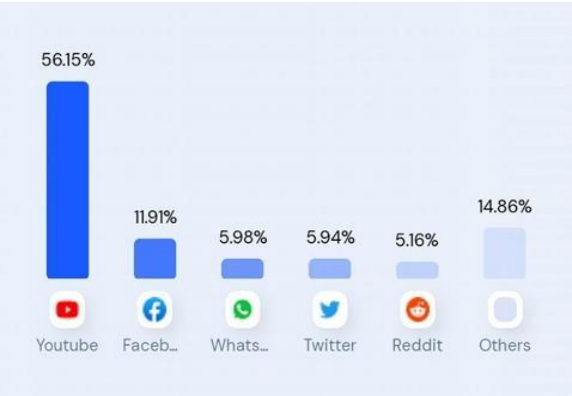

Figure 14: Social Network Distribution, October 2023 Source: Similarweb, 2023

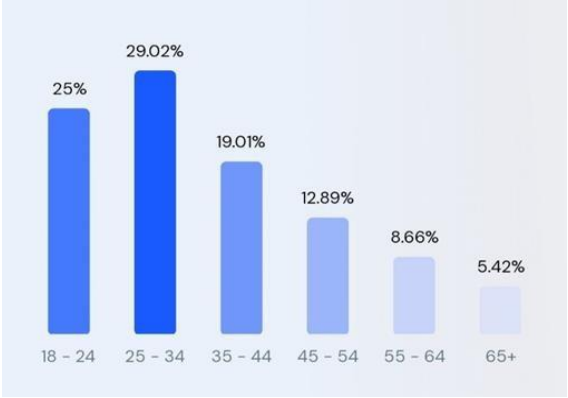

Figure 15: Youtube's Age Distribution, October 2023 Source: Similarweb, 2023

2.1.6 People

Duolingo's success is tied to its user base, which serves as the primary metric for evaluating the company's achievements. The platform places significant emphasis on fostering a sense of community among users, incorporating multiple features designed to facilitate connections with friends and track each other's progress. Additionally, Duolingo prioritizes the education community by offering free services to teachers, underscoring its commitment to making education accessible to all while providing support to educators.

2.1.7 Process

A fundamental aspect of the platform's learning process is the interactive nature of its exercises. Duolingo strategically integrates a range of interactive features to enhance user motivation, including leader boards (2018) to foster healthy competition and personalized avatars (2023) that allow users to envision themselves as characters within the learning experience. According to statistics published in 2022, interactive content garners 52.6% more engagement compared to static content (Cachey, 2022). Duolingo successfully leverages the exceptional user experience it offers.

2.1.8 Physical Evidence

Duolingo's tangible proof of excellence is found in user reviews, which significantly contribute to the platform's reputation. As of November 2023, Duolingo holds a remarkable Google Play score of 4.7/5, backed by an extensive 19 million reviews and over 100 million downloads. The Apple Store echoes this success with a matching rating of 4.7/5, supported by a substantial 2.3 million ratings.

Figure 16: Duolingo on Google Play Source: Google Play, 2023

Figure 17: Duolingo on Apple Store Source: Apple Store, 2023

2.2 Market Trends

2.2.1 Digital Transformation in Education

The COVID-19 pandemic has accelerated the adoption of Digital Transformation in the education sector. A study conducted in 2020, amidst the pandemic, reveals significant shifts in digital learning statistics. Notably, 38% of higher education institutions were actively exploring the digital transformation of their teaching approaches during this period (Aimpro.soft, 2021).

Figure 18: Digital Transformation trends in higher education (2020) Source: Aimprosoft, 2021

Three years later, by 2023, the trend has become fully integrated into the education system through blended or entirely online courses. In fact, Figure 19 illustrates the encouraging retention rates spurred by online learning, showing an increase ranging from 25% to 60%. Moreover, in contrast to the 38% of institutions exploring this teaching method in 2020, by 2023, 95% of faculty actively incorporate digital resources into their teaching and learning practices (ZipDo, 2023).

Figure 19: Digital Resource Usage, 2023 Source: ZipDo, 2023

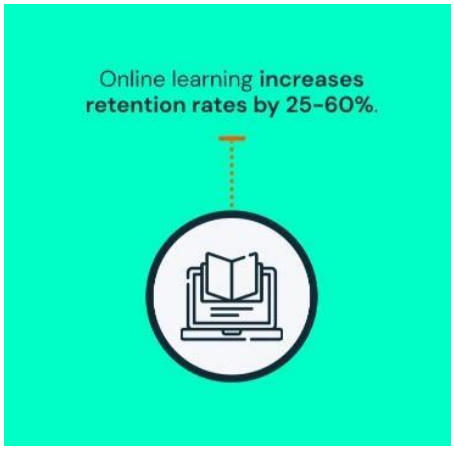

Figure 20: Online Learning Retention Rates, 2023 Source: ZipDo, 2023

Duolingo has seized the opportunity presented by the digital transformation trend, offering an accessible and engaging online language learning platform that aligns with the broader shift toward digital education.

2.2.2 Rise of Mobile Learning

BILLION $	*2020*	*2021*	*2022*	*2023*
Global Mobile Learning Market	22. 4	42.16	53.94	69.33

Figure 21: Global Mobile Learning Market Value (in billions $) 2020-2023
Source: GlobeNewswire, 2020, 2022, 2023

The global Mobile Learning Market in the last 4 years has experienced remarkable growth, surging by approximately 209.66%. Notably, the most substantial Compound Annual Growth Rate (CAGR) occurred between 2020 and 2021, reaching an impressive growth rate of 89.29%.

Duolingo has strategically capitalized on the substantial growth in the global Mobile Learning Market, influenced in part by the global pandemic. The company's success can be attributed to effective marketing strategies and the integration of interactive learning methods, taking full advantage of the surge in demand for mobile-based education.

2.3 Segmentation, Targeting and Positioning

2.3.1 Market Segmentation

Duolingo strategically incorporates a multifaceted approach, combining Demographic, Psychographic, and Behavioural Segmentation to tailor its platform and appeal to a diverse user base. This comprehensive strategy enables Duolingo to engage a broader range of learners and create a more inclusive language learning environment.

The demographic segmentation primarily focuses on the age and gender of users, giving special attention to individuals aged 18-34, constituting approximately 55% of the total user base (Similarweb, 2023). The application maintains a relatively even gender distribution, with 51.08% women and 48.92% men (Similarweb, 2023). This targeted demographic approach ensures that Duolingo caters effectively to the preferences and characteristics of its key user segments.

Psychographic and Behavioural segmentation are integral to Duolingo's strategy, tailoring the application to the lifestyle of its target audience. By prioritizing accessibility for mobile users, incorporating interactive learning methods, and fostering a sense of community through friend connections, Duolingo aligns with the preferences and behaviours of its users. This data-driven approach allows the company to discern the success of various updates and features, enabling informed decisions on refining and optimizing the platform based on user preferences and behaviours. Furthermore, offering free teacher access enhances Duolingo's appeal to those seeking collaborative language learning.

2.3.2 Market Targeting

When Duolingo first launched, it provided content in only four languages. However, with the growth of the global mobile market, the application expanded its language offerings. The company adopted a diverse segmentation strategy to research and implement approaches aimed at reaching the maximum number of users. Additionally, Duolingo targets mobile users, emphasizing accessibility and aligning with the prevalence of smartphones among the younger population. Through active participation on social media, Duolingo successfully targets its young demographic, maintaining the platform's relevance and appeal to language learners. This dynamic strategy allows Duolingo to adapt and expand its user base in response to market trends and user preferences.

2.3.3 Positioning

Duolingo distinguishes itself by positioning as a socially conscious enterprise with a mission to democratize education. The company takes pride in offering free language learning services, underscoring the significance of accessibility in education. This commitment sets Duolingo apart from competitors like Babbel and Busuu, which mandate paid subscriptions for access to their services. The company positions itself as a dedicated advocate for inclusive, globally accessible language learning.

3. Conclusion

3.1 SWOT Analysis

STRENGHTS	WEAKNESSES
- *Wide selection of languages* - *Gamification* - *Freemium model* - *Intuitive and immersive design*	- *Technical defects* - *Intrusive commercials* - *User dishonesty in gaining points*
OPPORTUNITIES	**THREATS**
- *Growing mobile learning industry* - *AI incorporation*	- *Open-minded content in conservative countries* - *Market overstimulation*

Figure 22: SWOT Analysis of Duolingo Source: Sakalauskė, Leonavičiūtė, 2022

3.1.1 Strengths

- **Wide language selection** - Duolingo stands out by offering a diverse selection of over 40 languages across 100 courses, surpassing competitors like Busuu (14 languages) and Babbel (13 languages).
- **Gamification** - The lessons are gamified, featuring interactive elements such as leader boards, points, and rewards, providing an engaging and entertaining learning experience for users.
- **Freemium model** - Users can enjoy free access to the application, with the option to upgrade to a paid subscription for an ad-free experience and offline access.
- **Intuitive and immersive design** – The application features an intuitive and visually appealing interface, offering quick lessons that employ an intuitive learning method based on repetition.

3.1.2 Weaknesses

- **Technical defects** – In the event of software errors, Duolingo does not offer a chat option for technical support.
- **Intrusive commercials** – The ads that appear after each lesson on the app are repetitive and lack personalization. The advertisements for paid subscriptions are lengthy.
- **User dishonesty** - Certain users prioritize competition over the learning aspect, striving to accumulate as many points as they can by repeating levels or using external help.

3.1.3 Opportunities

- **Growing Mobile learning industry** - The expanding Mobile Learning industry provides Duolingo with an opportunity to further enhance its application, leveraging its leading position in the market.

- **AI incorporation** – Duolingo, which already utilizes AI in its Birdbrain feature to customize lessons based on user preferences, could explore a more comprehensive integration of chatbots for enhanced user engagement.

3.1.4 Threats

- **Open-minded content** – Duolingo covers liberal topics that may be considered controversial in more conservative regions, including countries like Russia and China.
- **Market overstimulation** – The prevalence of social media and gaming apps, contributing to potential overstimulation, could result in internet detox trends. This might lead to a decrease in Duolingo's user base that has been steadily growing over the years.

3.2 Recommendations

Drawing from the comprehensive SWOT analysis of the company, four distinct categories of recommendations emerge for strategic considerations: Capitalizing on established strengths, addressing identified weaknesses, exploring available opportunities, and mitigating potential threats.

3.2.1 Capitalizing on Strengths

Duolingo has been successful in providing language courses, primarily catering to users in English-speaking countries and those whose first language is English. To expand its reach and potentially attract a more diverse user base, Duolingo should consider investing resources in offering additional language courses for less commonly spoken first languages. This strategic move can contribute to a more inclusive and global approach, attracting users from a broader linguistic spectrum.

Furthermore, Duolingo's strong reputation within the language learning market positions it as a trusted and reliable platform. Building on this reputation, the company should continue to capitalize on its competitive advantage by consistently introducing new languages.

Duolingo's recent introduction of Music and Mathematics lessons marks a step beyond traditional language courses. To capitalize on this opportunity, the company should further expand its non-language offerings, catering to a broader audience interested in diverse educational content.

3.2.2 Addressing Weaknesses

Addressing the platform's weaknesses is crucial for enhancing the overall user experience. Firstly, the lack of effective technical support can be mitigated by implementing a chatbot feature. Introducing a chatbot would provide users with immediate assistance, resolving technical issues promptly and increasing user satisfaction.

Secondly, the overwhelming and non-personalized ads can be improved through a personalized ad feature. By leveraging user data and preferences, Duolingo can tailor advertisements to align with individual interests. This customization not only makes ad breaks more engaging but also reduces the perception of intrusiveness.

3.2.3 Exploring Opportunities

While Duolingo has successfully capitalized on the surge in the mobile learning market, securing a prominent position in the online language learning industry, the company should persist in its commitment to innovation. To maintain its leading status, Duolingo should focus on extensive research, aiming to lead in the implementation of captivating new features such as virtual reality. This approach ensures that the company remains the most appealing option in the market.

Building upon the success of features like Birdbrain, which personalizes lessons, Duolingo can further enhance user interaction by introducing an AI chatbot for conversation practice

exercises. This addition would provide users with greater freedom to explore and engage with the given topics, making the application even more interactive.

3.2.4 Mitigating Threats

To prevent potential bans in regions where certain topics are deemed controversial or sensitive, Duolingo should proactively review its content for cultural sensitivity. This proactive approach can be achieved through extensive research and establishing partnerships with local educational institutions. However, the implementation of such measures should align with Duolingo's stance on censoring topics based on cultural and political situations globally. This recommendation is crucial to mitigate the risk of losing users and, consequently, revenue.

3.2.5 Summary

All in all, Duolingo's success in online language learning is commendable. The company's accomplishments are a result of its adept response to market trends and effective utilization of its strengths, as seen in the consistent growth of active users, a key success metric for the company. The recommendations aim to enhance the user experience with subtle yet impactful improvements to the application. These actions are taken to improve and elevate Duolingo's position in the online language education field.

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